

UNO Minda's foray into the EV sector

UNO Minda (UM) is currently engaged with the electric two-wheeler (E2W) and electric three-wheeler (E3W) segments. Their solutions include battery management systems, chargers, telematics, DC-to-DC converters, EV traction motors, and motor controllers. While currently limited, UM is also exploring opportunities in light commercial vehicles under the EV umbrella. Leadership at UM is devising a strategy for the entire EV segment, which will become visible over the next few quarters. During the last Auto Expo, UM showcased an E2W, an E3W, and an electric four-wheeler (E4W).

adoption curve operates. Features like automatic rain sensing, automatic headlamps, and wireless chargers, once premium, are now standard in mass-market cars. In India, even three-wheelers now offer digital instrument clusters. Premium features tend to become basic over time. Innovations are costly initially, so early adopters in the premium segments absorb these costs. As they enter the mass market, manufacturing costs decrease, and this curve is very much applicable to the automotive industry.

Is the timeframe for transitioning from early adopters to the early majority and then to mass market also decreasing?

Precisely! Technological changes are occurring rapidly. In the past, model upgrades happened every ten years. Now, facelifts are introduced every two to three years. The technology adoption cycle in the automotive industry is shortening, with premium features reaching the mass market faster, while those in the luxury segment become outdated even more swiftly. This rapid pace poses challenges and opportunities for all involved.

What is driving this shortening of the technology cycle in the automotive sector?

This trend results from several factors coming together. Firstly, social media's penetration across the country means that videos of cars with new features can be

viewed anywhere, raising consumer expectations. Consequently, vehicle brands collaborate more with their suppliers to incorporate these features. Competition among vehicle brands and OEMs is intensifying, pushing them to innovate to stay ahead. Affordability breeds competi-



tion, which in turn enhances affordability—not only of features but also of cars in India.

Can you provide an example of this affordability?

Alloy wheels serve as a perfect example. They are used in both ICE and electric vehicles. Previously, alloy wheels were only available on top variants. Today, even if a brand restricts these to higher trims, consumers often opt for aftermarket options. Many brands now offer different alloy wheels across models. For example, the top model might feature diamond-cut alloys, while the second top variant could have single-colour alloys.

Infotainment screens illustrate

this further. Some brands now offer a 17.78cm (7-inch) screen in the base model but a 27.94cm (11-inch) one in the top variant. There are scooters being launched with interactive screens as large as 22.86cm (9-inches).

How satisfied are you with the quality of components sourced from India compared to those sourced internationally?

The quality has certainly improved over recent years. While most tier 2 and tier 3 suppliers remain family-run businesses, they are actively enhancing their management and quality standards. Positive developments are occurring, with these companies adopting better management systems, resulting in improved quality of raw materials and components. Previously, the industry focused on parts per million; now we are discussing parts per billion.

Can we create an automotive component giant in India that competes with the Germans, Japanese, Americans, and Koreans?

That is achievable, but it is important to remember that we can only manage a certain amount at a time. Domestic demand in India is skyrocketing, with growth rates of 25% to 26% year-on-year. It will take time for the Indian industry to expand its share of international revenue without compromising delivery targets set by domestic clients. Currently, international sales contribute around 15% to our revenue, up from 9% a few years ago. However, suggesting that India can host an automotive giant that competes globally is still a long shot.

We are driving international revenue through segments like switches for two-wheelers, automotive lighting, and RCTs, which are substantial in exports. **EFY**